Chapter #5:

Computer Contracts

Contract:

- Agreement between Two or more persons creating rights & duties and which is enforceable by law.
- Agreement between persons which obliges each party to do or not to do a certain thing.
- is a promise or set of premises that are legally enforceable and, if violated, allow the injured party access to legal remedies.
- Contracts → inorder to avoid disputes and future difficulties is better to draft document:
  - Setout the agreement between the parties.
  - Setout the aim of parties.
  - Provides rules for the issues arising while contract is running
  - ways of terminating the contract
  - Consequences of termination.
- Methods of payments
- The term on which both parties work.

Purpose:

⇒ A contract
- Should be set out in a clear and logical manner.
- Should be complete and consistent.
- Should have no ambiguity.
- Should be free of doubts regarding the rights and duties of concerned parties.
- Concise

⇒ Ambiguity and doubts lead to disagreement and the expenditure of time, effort and therefore money, in resolving the matter.

Types of Contract

⇒ four types which are widely used in connection with the provision of software services:
- Contract hire
- Time and materials
- Consultancy
- Fixed Price

1) Contracts for the Supply of Custom-Built Software at a fixed price:

- In fixed price contract each and everything is already fixed. This type of contract are for tailored-made or bespoke Software systems.

Structure of the contract

- A short introductory section
- A set of standard terms and conditions
- Authority Section
- A set of appendices/shedules or annexes

Introductory Section

- First part of the contract is brief.
- it states that it is an agreement between the parties whose names and registered addresses are given.
- it is dated and signed by authorized representatives of the parties.
- Begins with a set of definitions of terms used in the course of the agreement.
- **What is to be produced**

- The contract clearly states that what is to be produced.
- Refers to a separate document which constitutes the requirement specification
- Software engineers will be familiar with the problems of producing requirement
- A specification sets out the detailed requirements of the client.
- Specification should be complete consistent and accurate and set out all that the client wants to be done in the performance of the contract.

What is to be delivered

- Also determine what to be delivered for client not just the source code or text of program.

⇒ The following is a non-exhaustive list of possibilities:

- Source code
- Command files for building the executable code from the source and for installing it
- User training
- Documentation of the design and code
- Training manuals and operations manuals
- Software tools to help maintain the code.
- Training for the client's maintenance staff
- Test data and test results.

Ownership of Rights

- Contract should state what legal rights are being passed by the software house to the client under the contract.

Confidentiality

- Protection of personal information. Confidentiality means keeping client's information between You and the client, and not telling others including co-workers, friends, family etc.
- Should be highly considered while writing a contract.
- Commisioning client may well have to pass confidential information about its business operations to the software house.

- The software house may not want the client to divulge/show to others details of the program content or other information gleaned about its operation by the client.

Payment terms

- Standard terms and conditions will
- Specify the payment conditions like:
  - Payment shall become due within thirty days of the date of issue of an invoice.
  - if payment is delayed by more than thirty days from due date, the company shall have the right to terminate the contract or to apply a surcharge at an interest rate of 2 percent.

Calculate payments for delays & changes:

The contract should make provision for payments to compensate the wasted efforts.

- Must specify the process by which these extra ~~program~~/payments are to be calculated.

Penalty Clauses

- Delays caused by suppliers are handled by penalty clauses.

Also known as liquidated damages clause, is a provision in a contract that specifies a predetermined amount of money that one party must pay to the other in the event of a breach of contract.

Obligations of the client

- When work is carried out for specific client, the client will have to fulfil certain obligations, if the contract is to be completed successfully.
- The following is a (non-exhaustive) list of possibilities:
  - → Provide documentation on aspects of the client's activities or the environment in which the system will run.

→ Provide access to appropriate members of staff.
→ Provide machine facilities for development and testing.
→ Provide accommodation, telephone and secretarial facilities for the company's staff
→ When working on the client's premises
• Provide data communication facilities to the site.

Standards and methods of Working

→ The supplier is likely to have company standards, methods of working, quality assurance procedures, etc. and will normally prefer to use these. More sophisticated clients will have their own procedures and may require that these be adhered to.

→ Sometimes, the supplier may be required to allow the client to apply quality control procedures to the client.

who will oversee the work and have authority to make decisions, including financial ones.

Project Managers

• Each party needs to know who, of the other party's staff, has day-to-day responsibility for the work and what the limits of that person's authority are.

• The standard terms and conditions should therefore require each party to nominate, in writing, a project Manager.

• The project managers must have at least the authority necessary to fulfil the obligations which the contract places on them.

Acceptance Procedure

• Critical part of contract for they provide the criteria by which successful completion of the contract is judged.

• The essence of the acceptance procedure is that the client should provide a fixed set of acceptance tests and expected results and the successful performance of these tests shall constitute acceptance of the system.

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Indeminity

- Both client and supplier agree to protect each other from liability if intellectual property rights were violated accidently during the project.
- Could also happen if the supplier careless or dishonest, such as by using proprietary software in the system they deline.

Termination of the Contract

- The contract also include reasons and procedures for ending it before completion.
- Can be due to several reasons:

Company takeover:

- The client might be taken over by another company that already has a similar system in place, making the ongoing project unnecessary.

Change in client policy:

- The system being developed is no longer useful or needed.

- Main purpose is to end agreement in a friendly and fair manner without creating unnecessary conflict or financial damage. The aim is to handle the termination smoothly and respectfully.

Arbitration

→ If there's a dispute that cannot be resolved the contract may require both parties to accept the decision of an independent arbitrator.

Inflation

→ Refers to the rise in prices over time, which can affect the costs of a project, especially if it is long-term or requires on going maintenance.

→ In lengthy projects, the supplier may face higher costs due to inflation such as increased wages, material costs or other expenses. To protect themselves from these unpredictable cost increases, the supplier usually include a clause in the contract that allows them to raise their charges to match the rise costs, ensuring that they do not financially harmed by the inflation

Applicable law

→ The contract should specify which country's laws will be used to interpret it, especially if the parties are in different legal areas.

Warranty and maintenance

→ After the product is delivered, a warranty period is often offered (e.g 90 days) during which any errors will be fixed for free.

→ Maintenance beyond this period is typically charged on a time and materials basis.

The Authority Section

→ This part lists the authorized people from both parties who can sign the contract, along with the contract's terms & conditions start and end dates.

Progress Meetings

→ Progress meetings are regular check-ins during a project to ensure everything is on track.

→ They help confirm that goals are being met, and the meeting notes, once approved, serve as proof of progress.

→ These meetings are essential for smooth project completion, especially in fixed-price contracts.

(ii) Contract hire

→ Contract hire agreements are simpler than fixed price contracts because the supplier has less responsibility.

→ In these agreements, the supplier provides skilled staff to the client. The staff works under the client direction, and the suppliers main responsibility is to ensure the staff is qualified and to replace them if needed. (usually reffered to as "body shopping"

→ Payment is based on a fixed daily rate for each staff members, which varies depending on their experience and qualifications

(iii) Times & Materials

→ Also known as "Cost plus" Contract, is a middle ground between a contract hire and fixed price.

→ In this type of contract the supplier agrees to develop software as they would in a fixed price contract.

→ However, instead of paying a fixed price upfront, the client pays for the actual costs incurred during the projects.

→ This includes materials and labor, with labor charged similarly to contract hire, mean it's based on a fixed rate per day for each person working on the project.

(iv) Consultancy:

→ Similar to contract hire but considered more high-end.

→ Consultants are experts hired by a company to assess their operations or strategy and suggest improvements.

→ The result of a consultancy project is usually a report or recommendations.

→ Consultancy projects are often done for a fixed price, but the contracts are simpler than fixed-price contracts for software development.

→ There are two reasons for their simplicity:

→ 1. The amounts of money involved are usually smaller.

→ 2. Easier to prove software does not work, but harder to prove a report not good enough.

Key aspects of Consultancy Contract:

1. Confidentiality:

→ Consultants often learn sensitive information about the companies they work for. There needs to be protection against misuse for this information.

2. Terms of Reference:

→ This outlines what the consultants are supposed to work on. Disagreements can occur if consultants find other issues they want to address, but the client does not agree.

3. Liability:

→ Consultants usually want to limit their liability for any losses the client suffer from their advice. Clients may not accept this and and could ask for

for proof that the consultant has professional liability insurance.

4. Control over the final report:

- In most consultancy contracts, the process for finalizing the report is straightforward.

→ The consultant first creates a draft version of the report and gives it to the client.

→ The client is given a set amount of time to review the draft.

→ During this period, the client can ask for changes or suggest improvements.

→ After reviewing and making the requested changes, the consultant submits a revised version.

→ This revised report is considered the final version.

→ Once the final version is submitted, no further changes are typically made and is treated as the official report.

Outsourcing

→ Outsourcing, also called facilitates management, is the commercial arrangement under which a company or organization hand over the responsibility for planning, managing and running certain functions to another specialized organization.

Example:

Instead of generating your own electricity at home, rely on company to supply it. This is outsourcing.

Why outsourcing?

A company that specializes in a particular area, such as IT, is often better at managing services than a company whose expertise lies elsewhere.

Key points in outsourcing contracts

1. How will the suppliers performance be monitored?
2. What happens if the performance is poor?
3. Which assets (e.g equipment, software) are being transferred to the suppliers?

4 Will any staff transfer to the supplier?
5. What audit rights will the customer have? (a concern: customer check supplier work.)
6. What are the contingency plans and disaster recovery strategies?
7. Who owns the intellectual property for software developed during the contract?

Duration & Termination:

8. How long is the agreement, and how can it be terminated?

Service level agreement (SLA):

→ The first two points (monitoring & performance) are often handled through a separate contract called a service level agreement.

Benefits of outsourcing:

- Allows companies to focus on their main business activities.
- Specialist companies can often perform tasks more efficiently.

Liability for defective Software

Suppliers and contract terms:

- Software and hardware suppliers often avoid guaranteeing that their products are fit for any purpose.
- Contracts usually have clauses that limit the supplier's liability if the product is defective.

Limiting liability:

- Most contracts limit liability to the purchase price or fixed maximum amount.
- If the product fails completely, suppliers usually only refund the purchase price or a specified maximum amount.

Unfair contract terms Act 1977:

- This law limit how much liability can be excluded by contract clauses.
- Suppliers cannot exclude liability for death or personal injury caused by defective products.

Consumer vs non-consumer sales:

Consumer Sales: The sale of Goods Act 1979 ensures goods must be fit for their intended purpose.

Non-consumer Sales: Bespoke software often falls under the supply of Goods and services Act 1982, which requires "reasonable skill and care" offering less protection

Conclusion:

→ Liability for defective software is often limited by contract, but laws like the unfair Contract Terms Act 1977 ensure that such limitations are only valid if reasonable. Safety critical software faces stricter liability, and consumer protection like the sale of Goods Act may apply to software sales, depending on the case.